DIGITALAIKART

THE 8TH PAY COMMISSION HANDBOOK

India 2026-27 Edition

What is confirmed. What is still open.
And how to work out what your pay and pension could look like.

Verified from PIB, the Ministry of Finance resolution, 8cpc.gov.in,
Parliament replies and the Labour Bureau — October 2026

34 pages | 15 chapters | 40 FAQs | worked worksheet

HOW TO USE THIS HANDBOOK

Read this first

This handbook explains the 8th Central Pay Commission in plain English: what has actually been decided, what is still open, how your pay and pension are built, and how to estimate your own numbers while you wait. It is written for serving central government employees, defence and railway staff, and pensioners — and for the families who ask them the same question every year: *how much will it go up, and when?*

The 8th Pay Commission has not yet submitted its recommendations. That single fact shapes this entire handbook. Wherever a number is not yet official, this book says so plainly and shows you the method instead of inventing a figure. Every confirmed fact carries its source, and the full source list sits in Chapter 15.

An important note on independence

This handbook is an independent educational product. It is not published by, affiliated with, or endorsed by the Government of India, the 8th Central Pay Commission, any ministry, or any employee or pensioner association.

It is not legal, financial or tax advice. The final pay, allowance and pension figures are the Government of India's to decide and notify. Always treat a pay commission circular, gazette notification or your own department's order as the last word.

All facts were checked in October 2026 against official sources. Pay commission processes move; re-check the official portal before acting on any date.

The five questions this book answers

1. **What is the 8th Pay Commission, and who is on it?** The official facts, the Terms of Reference, and the 18-month clock. (Chapters 1-2)
2. **Where does the process stand today?** The consultation calendar, the memorandum window, and the realistic timeline. (Chapters 3-4)
3. **How is my pay actually built?** The pay matrix, the fitment factor, DA and allowances — and how to estimate your revision. (Chapters 5-8, 12)
4. **What happens to my pension and gratuity?** OPS, NPS, UPS, and the retirement benefits the commission will review. (Chapters 9-10)
5. **What should I do now?** A myth-buster, a tracker and an action plan you can start this week. (Chapters 11, 13)

A word on how to read the numbers

Rupee figures in this book are written in the Indian format (lakh and crore where useful). Where a figure is a projection or an illustration, it is labelled as such. Where a figure is official, it is marked with its source. Read the labels; they are the difference between knowing something and guessing.

CONTENTS

What's inside

Part I — The Big Picture	
1	What a Pay Commission is — and why this one matters
2	The 8th CPC, officially: who is on it and what it must do
Part II — Where It Stands Today	
3	The consultation process, and how your voice gets in
4	The timeline: earliest, latest, and how arrears work
Part III — How Your Pay Is Built	
5	The pay matrix, level by level
6	The fitment factor: the one number everyone waits for
7	DA and DR: the twice-a-year inflation adjustment
8	Allowances: HRA, TA, and the push to simplify
Part IV — Pension and Retirement	
9	Pension: the three worlds of OPS, NPS and UPS
10	Gratuity and the rest of your retirement kit
Part V — Practical	
11	Twelve myths doing the rounds right now
12	Estimate your own revision: a worked worksheet
13	What to do now: a tracker and a 90-day plan

14	Forty questions employees actually ask
15	Official sources and links
Glossary	The terms in this handbook, in plain English
Appendix	The whole handbook on one page

PART I — THE BIG PICTURE

Chapter 1

What a Pay Commission is — and why this one matters

A Central Pay Commission is a temporary committee the Government of India sets up roughly once a decade to review the pay, allowances, pension and service conditions of central government employees. Its job is to recommend what should change; the government then decides what to accept. It has no power to act on its own.

The first commission was set up in 1946, before Independence. Since then seven have reported, each reshaping how lakhs of people are paid. The eighth is the one running now. Its decisions will touch around 50 lakh central government employees (including the armed forces) and nearly 70 lakh pensioners, according to the Cabinet's October 2025 release.

Why the numbers move the way they do

Each commission starts from a simple idea: the pay you were fixed at years ago has been eaten into by inflation, and it needs to be reset. The mechanism has two parts. First, the dearness allowance (DA) you have already been drawing is folded into your basic pay — a merger. Second, a real increase is added on top. Together they produce a single multiplier called the fitment factor, which is applied to everyone's existing pay. In 2016, the 7th Commission used a fitment factor of 2.57. That is the number the 8th Commission will replace.

This is why pay commission news is always about one number. Everything else — the new matrix, the allowances, the pension — hangs off the fitment factor.

What changed over eighty years

Commission	Years	Chairman	Minimum pay set
1st	1946-47	Srinivasa Varadachariar	Rs. 55 / month
2nd	1957-59	Jagannath Das	Rs. 80 / month
3rd	1970-73	Raghubar Dayal	Rs. 185 / month
4th	1983-86	P. N. Singhal	Rs. 750 / month
5th	1994-97	S. Ratnavel Pandian	Rs. 2,550 / month
6th	2006-08	B. N. Srikrishna	Rs. 7,000 / month
7th	2014-16	A. K. Mathur	Rs. 18,000 / month

Source: The Hindu BusinessLine timeline of pay commissions, January 2025, and PIB releases on the Sixth and Seventh Commissions.

Two patterns are worth noticing. Minimum pay has multiplied roughly 300 times since 1946 — a reminder of how much inflation compounds. And the gap between commissions has settled at about ten years, which is exactly why the 8th Commission's effect is normally expected from 1 January 2026.

Why employees watch this one closely

For most of the last decade, central government pay has been revised only through DA, twice a year. A new pay commission is different: it resets the base itself. It also re-opens questions that DA alone never touches — how allowances are structured, how pension is calculated for NPS and UPS subscribers, and whether the pay matrix is compressed or stretched. For anyone planning a home loan, a child's education or retirement, the fitment factor is the single most consequential number of the decade.

The idea underneath: a 'living wage'

Pay commissions are not only about inflation. The first commission, in 1946, introduced the idea of a 'living wage' — pay enough for a worker to support a family in reasonable comfort, not merely to survive. That principle has echoed through every commission since. The 6th Commission used the need-based norms of the 15th Indian Labour Conference to estimate a minimum, and the 7th Commission used the Aykroyd formula, which costs out a basket of food, clothing, housing, fuel and sundries for a family.

This matters because it explains why the minimum pay has climbed so steeply over eight decades, and why a pay commission is never a pure inflation calculation. When the 8th Commission sets a new minimum pay, it will be weighing a dignified standard of living against fiscal prudence — the tension written directly into its Terms of Reference.

Chapter 2

The 8th CPC, officially: who is on it and what it must do

Everything in this chapter is confirmed from official sources: the Union Cabinet's approval of the Terms of Reference on 28 October 2025, the Ministry of Finance resolution dated 3 November 2025 that constituted the commission, and its own portal at 8cpc.gov.in.

The commission, at a glance

Item	Official position
Announced	Approved by the Union Cabinet in January 2025
Terms of Reference	Approved by the Cabinet on 28 October 2025
Constituted	Ministry of Finance resolution dated 3 November 2025
Type	Temporary body: one Chairperson, one part-time Member, one Member-Secretary
Deadline	Recommendations within 18 months of constitution (about May 2027)
Interim reports	Permitted, if the commission chooses
People covered	About 50 lakh employees (incl. Defence) and nearly 70 lakh pensioners
Expected effect date	Normally 1 January 2026, by the ten-year convention

Sources: PIB, 28 October 2025; Ministry of Finance resolution dated 3 November 2025; 8cpc.gov.in.

Who sits on the commission

Role	Name
Chairperson	Smt. Justice Ranjana Prakash Desai
Member (part-time)	Prof. Pulak Ghosh
Member-Secretary	Shri Pankaj Jain

Justice Desai is a former judge of the Supreme Court. Prof. Ghosh is a professor of finance and a member of the Economic Advisory Council to the Prime Minister. Shri Jain is a former IAS officer. The commission sits at Chanderlok Building, Janpath, New Delhi.

What the Terms of Reference actually say

The Terms of Reference define the commission's scope. They require it to keep five things in view while making recommendations:

1. The economic conditions in the country and the need for fiscal prudence.
2. The need to ensure adequate resources are available for developmental expenditure and welfare measures.
3. The unfunded cost of non-contributory pension schemes.
4. The likely impact of the recommendations on the finances of the State Governments, which usually adopt the recommendations with some modifications.
5. The prevailing emolument structure, benefits and working conditions available to employees of Central Public Sector Undertakings and the private sector.

Beyond those considerations, the commission has been asked to examine and recommend changes in emoluments (including pay and the pay matrix), allowances (including DA, DR and HRA), other benefits, incentive and bonus schemes, the rationalisation of the large number of existing allowances, and pension — including the death-cum-retirement gratuity for employees covered by the National Pension System, including the Unified Pension Scheme.

Read the Terms of Reference closely

Notice what the ToR do **not** do. They do not fix a fitment factor. They do not promise a percentage increase. They do not set the implementation date.

They set the frame of reference. Any figure you see online before the commission's report is a projection, not a decision.

PART II — WHERE IT STANDS TODAY

Chapter 3

The consultation process, and how your voice gets in

A pay commission does not decide in a closed room. It travels the country, meets employee unions, pensioner associations and ministries, and invites written memoranda from anyone with a stake. As of October 2026, the 8th Commission is deep in this consultation stage.

How the consultation works

- **State and city visits.** The commission holds meetings with associations and unions at venues across the country, gathering demands and suggestions on pay, allowances and pension.
- **Ministry meetings.** It also meets central ministries and departments for the government's own view.
- **Written memoranda.** Unions, associations and individuals may submit memoranda; the deadline for responses to the commission's memorandum was extended to 15 June 2026.
- **Questionnaire and data portal.** The portal carries a questionnaire and an online data portal for structured inputs.

A sample of the consultation calendar (2026)

Venue	Dates	Status (Oct 2026)
Dehradun, Pune, Hyderabad	Apr – May 2026	Held
Srinagar, Ladakh, Lucknow	Jun 2026	Held
Bhubaneswar, Kolkata	Jul 2026	Held
Delhi, Jaipur	Aug – Sep 2026	Held
Chennai, Puducherry, Chandigarh	Sep 2026	Held
Bengaluru	7-8 October 2026	Scheduled
Mumbai	22-23 October 2026	Scheduled

Sources: 8cpc.gov.in notices; The Economic Times, 1 October 2026.

By October 2026 the commission had visited more than a dozen venues and met hundreds of associations. That is roughly eleven months into its eighteen-month mandate.

How to make your own submission count

Individual employees rarely submit memoranda, but associations do — and the commission reads them. If you belong to one, or want your case represented, the most effective submissions share three qualities:

1. **Specific.** Name the exact allowance, level or rule you are asking to change — not a general request for 'a good increase'.
2. **Evidenced.** Attach the numbers: what the rule costs you, what comparable private-sector roles pay, what the change would fix.
3. **Proportionate.** Ask for what the ToR can actually deliver. The commission must weigh fiscal prudence and state finances, so a demand tied to a real gap travels further than a wish.

What not to do

- Do not pay anyone who claims they can 'get your case included' for a fee. Submissions to the commission are free.
- Do not treat a viral message as an official channel. The only official channels are 8cpc.gov.in and formal association routes.
- Do not wait for the report to organise. The consultation stage is precisely when inputs still matter.

The one link to bookmark

Everything official about the commission lives at **8cpc.gov.in** — the Terms of Reference, notices, the questionnaire, the memorandum route and the data portal. If a claim about the 8th CPC is not traceable to this site, PIB, or a gazette notification, treat it as unconfirmed.

Chapter 4

The timeline: earliest, latest, and how arrears work

The most common question about any pay commission is not 'how much' but 'when'. Here is the honest answer, with the moving parts separated.

The official clock

The resolution dated 3 November 2025 gave the commission eighteen months from its constitution to submit recommendations. Counting from 3 November 2025, that lands in about May 2027. The commission may also file interim reports on specific matters as and when they are finalised. In Parliament in August 2026, the government confirmed it had not yet received the report and that the implementation date would be decided by the government.

Why the effect date and the payment date are different

A pay commission has a **date of effect** — the date from which revised pay is calculated — and a **date of payment**, when the money actually arrives. By the ten-year convention, the 8th Commission's effect is normally expected from 1 January 2026. If the report is accepted in 2027 or 2028, the difference between the effect date and the payment date is paid as **arrears**, in a lump sum.

> **Arrears are not a bonus**
>
> Arrears are simply the gap between the old pay and the new pay for the months you worked before the new structure was notified. The 7th Commission's arrears were paid during 2016-17. A later implementation does not reduce what you are owed for the waiting period — it only delays the day it reaches your account.

Three realistic scenarios

Scenario	Report submitted	Likely payment window
Fast	Early-to-mid 2027	Late 2027 into 2028, with arrears
Central	Mid 2027 (within the 18-month limit)	2028, with arrears
Slow	Late 2027 after an extension	2028-29, with arrears

These are scenarios built from the official 18-month clock and the pace of past commissions — not predictions. The 7th Commission was constituted in February 2014 and reported in November 2015; the 6th was constituted in 2006 and reported in 2008. Rollout after the report has historically taken several more months, because a group of ministers reviews the recommendations before a resolution is issued.

What is happening until then

Life does not pause for the commission. Until the new structure is notified, employees continue to be paid under the 7th Commission framework, and DA continues to be revised twice a year on the existing base. Chapter 7 covers exactly where that stands.

A note on the numbers you will see online

Between now and the report, expect a flood of headlines quoting a fitment factor, a percentage hike, or a new minimum pay. Almost all of them are arithmetic built on assumptions, dressed up as news. Chapter 11 separates the few things that are true from the many that are not.

PART III — HOW YOUR PAY IS BUILT

Chapter 5

The pay matrix, level by level

Before you can understand the fitment factor, you need to understand what it is applied to. Since the 7th Commission, central government pay is organised as a matrix, not a set of pay bands. Understanding it is the key to reading any pay commission headline correctly.

What the matrix is

The pay matrix replaced the old system of pay bands and grade pay. It has two dimensions. The horizontal axis is the **level** — your functional role in the hierarchy, running from Level 1 to Level 18. The vertical axis is the **progression** — the steps your pay climbs through as the years pass, each step being an annual increment of about 3 per cent. Your grade pay is now subsumed into your level.

When the 7th Commission set the matrix, it used an 'index of rationalisation' for each level — a factor between 2.57 and 2.81 — to arrive at the minimum pay for that level. Level 1 begins at Rs. 18,000. Level 18 tops out at Rs. 2,50,000.

The first cell of each level (7th CPC)

Level	Starting pay (Rs.)	Level	Starting pay (Rs.)
1	18,000	10	56,100
2	19,900	11	67,700
3	21,700	12	78,800
4	25,500	13	1,18,500
5	29,200	13A	1,31,100
6	35,400	14	1,44,200
7	44,900	15	1,82,200
8	47,600	16	2,05,400
9	53,100	17	2,25,000
		18	2,50,000

Source: 7th CPC pay matrix, Ministry of Finance gazette notification, July 2016.

How an increment actually works

Each year, your pay moves to the next cell in your level — roughly a 3 per cent rise. For example, at Level 1 the cells run 18,000, 18,500, 19,100, and so on. You climb one cell a year until you reach the top of your level. Promotions move you to a different level, and the matrix places you at the appropriate cell there.

Why the matrix matters for the 8th CPC

The new commission will publish a fresh matrix. Your revised basic pay will be your current basic multiplied by the fitment factor, and then located in the new matrix — if the exact figure is not a cell, you are placed at the next higher cell.

So two things decide your new pay: the fitment factor, and the shape of the new matrix. The first is the headline. The second decides who gains most.

Chapter 6

The fitment factor: the one number everyone waits for

If you remember one thing from this handbook, remember this: the fitment factor is the multiplier applied to your existing basic pay to fix your new basic pay. The 7th Commission used 2.57. The 8th Commission's factor has not been announced. Everything else is commentary.

How the factor is actually built

The factor is not plucked from the air. It is built from two parts:

1. **The DA merger.** The dearness allowance you have been drawing is folded into basic pay. If DA stands at 60 per cent, that part alone is a multiple of 1.60.
2. **The real increase.** On top of the merger, the commission adds a genuine rise to reflect growth in the economy and the cost of a dignified living wage.

At the 7th Commission, DA was assumed at 125 per cent at the effect date, giving a merger multiple of 2.25. A real increase of about 14.29 per cent was added, and 2.25 × 1.1429 ≈ 2.57. That is how the famous figure was reached.

The method, applied to 2026

The 8th Commission's factor will depend on the DA level at the effect date and the real increase it recommends. The table below shows the arithmetic for illustration only — it is a method, not a forecast:

If DA at merger	Merger multiple	With +14% real	With +16% real
60%	1.60	1.82	1.86
63%	1.63	1.86	1.89
70%	1.70	1.94	1.97

Illustrative calculation only. The actual fitment factor is decided by the commission and the government.

What this table does and does not say

It says: the factor is driven by the DA you have already earned plus a real increase. The higher the DA at the effect date, the higher the factor.

It does not say the 8th CPC will use 2.57, or 1.86, or any other number. Those are arithmetic examples. Treat any specific figure you read before the report as unconfirmed.

Why a bigger factor is not the whole story

A higher fitment factor raises everyone's basic pay — but it also raises the base on which DA, HRA and gratuity are calculated, and it can change how the matrix is shaped. Two employees at different levels can gain very differently from the same headline factor. That is why reading only the fitment number, without the matrix, tells you less than it seems.

A worked example

Suppose your basic pay today is Rs. 44,900 (Level 7). If an illustrative factor of 1.86 were applied, your revised basic would be about Rs. 83,500 — placed at the next higher cell in your new level. Add DA, HRA and other allowances on top of that base to see your gross. Chapter 12 walks this through step by step with a fill-in worksheet.

Who gains most from the same factor

A single fitment factor applied across all levels is not a single percentage gain, because the new matrix rounds each result to a cell and reshapes relativities. The table below shows how the same illustrative factor of 1.86 lands at different levels — the rupee gain grows with level, but the relative position between levels can shift once the matrix is redrawn.

Level	Current basic (Rs.)	At an illustrative 1.86 (Rs.)	Rupee gain (Rs.)
1	18,000	33,480	15,480
4	25,500	47,430	21,930
6	35,400	65,844	30,444
7	44,900	83,514	38,614
10	56,100	1,04,346	48,246
13	1,18,500	2,20,410	1,01,910

Illustrative only, using a hypothetical factor. Your actual revised pay follows the notified matrix and the next higher cell rule.

Chapter 7

DA and DR: the twice-a-year inflation adjustment

While the pay commission deliberates, your salary still moves — through dearness allowance, revised every January and July. This is separate from the 8th CPC, and it continues under the existing structure until the new one is notified.

How DA is calculated

DA is linked to the All-India Consumer Price Index for Industrial Workers (AICPI-IW), published by the Labour Bureau. The government takes the twelve-month average of the index and runs it through a fixed formula under the 7th Commission:

The DA formula (7th CPC)

DA% = [(12-month average AICPI-IW × 2.88) – 261.42] ÷ 261.42 × 100

The factor 2.88 links the 2016 index base to the earlier 2001 base. The government then drops the decimal and pays the whole number.

Where DA stands in October 2026

Effective from	DA / DR rate	Status
1 January 2026	60%	Notified (up from 58%)
1 July 2026	63% (calculated 63.75%)	Awaiting Cabinet approval

Sources: Department of Expenditure OM dated 22 April 2026; Labour Bureau CPI-IW data; Mint and Economic Times, July-August 2026.

The July 2026 revision completed its calculation when the June 2026 index came in at 151.9, giving a twelve-month average of 148.65 and a DA of 63.75 per cent — payable as 63 per cent. Only the Cabinet's formal approval remains, and the higher rate applies retrospectively from 1 July 2026, with the gap paid as arrears.

What a 3-point DA rise is worth

Level	Basic pay (Rs.)	Extra DA per month (Rs.)
1	18,000	540
2	19,900	597
4	25,500	765
6	35,400	1,062
7	44,900	1,347
8	47,600	1,428
10	56,100	1,683
13	1,18,500	3,555

Figures are 3 per cent of basic pay at the starting cell of each level. Source: Economic Times DA table, July 2026.

Pensioners get the same rise as **Dearness Relief** (DR), which moves at exactly the DA rate. A pensioner drawing Rs. 25,000 basic pension would see about Rs. 750 more a month, plus the arrear for the months

since July.

Why DA matters to the 8th CPC

DA is not just a monthly top-up. It is the fuel for the next pay commission. When the 8th Commission takes effect, the DA you have accumulated is merged into your basic pay — it does not get paid separately on top. This is why the commission's timing and the DA rate at that moment are so tightly linked.

Chapter 8

Allowances: HRA, TA, and the push to simplify

Allowances are where pay commission outcomes get quietly decided. They are also the part the 8th Commission has been explicitly asked to rationalise, because India's allowance system has grown large and tangled over the decades.

House Rent Allowance (HRA)

HRA is paid as a percentage of basic pay, at rates that depend on how your city is classified. Under the 7th Commission the base rates were set at 24, 16 and 8 per cent for X, Y and Z class cities, with floors to protect lower levels, and a built-in step-up as DA rises.

City class	Base rate	When DA > 25%	When DA > 50%
X (large metros)	24%	27%	30%
Y (mid-size)	16%	18%	20%
Z (small towns)	8%	9%	10%

Floors under the 7th CPC: Rs. 5,400 (X), Rs. 3,600 (Y), Rs. 1,800 (Z). Source: PIB, 7 July 2017.

Because DA has long since crossed 50 per cent, the top row applies in practice — but the exact rate for your city follows your department's orders. The 8th Commission may reset these percentages, and the classification of cities itself, which is why HRA is worth watching.

Other allowances the commission will look at

- **Transport Allowance (TA).** A flat monthly amount that depends on your level and city class, revised when DA crosses thresholds.
- **Children's Education Allowance and hostel subsidy.** Reimbursement-based support for education costs, with defined ceilings.
- **Special allowances.** Post-specific payments for hardship, risk, or professional qualifications — the group most likely to be touched by a rationalisation drive.
- **Field, area and remote-location allowances.** Compensation tied to where you are posted.

What 'rationalisation' really means

The Terms of Reference ask the commission to review existing allowances and rationalise them, 'keeping in view the multiplicity of allowances'. In plain terms: merge the near-duplicates, prune the ones that no longer serve a purpose, and simplify the rules that decide who gets what. For an individual employee this can cut both ways — a niche allowance you relied on may be merged away, while a common one may be raised.

The practical takeaway

Do not budget on the assumption that every allowance you draw today will survive the 8th CPC unchanged. When the report arrives, read the allowance chapter of your department's order, not just the headline fitment factor.

PART IV — PENSION AND RETIREMENT

Chapter 9

Pension: the three worlds of OPS, NPS and UPS

Central government pension is not one system but three, and which one you are in depends almost entirely on when you joined. The 8th Commission's Terms of Reference reach into all of them, which is why pensioners are watching as closely as serving staff.

The three systems

System	Who is in it	How the payout is set
OPS (old pension)	Joined before 1 Jan 2004 (broadly)	Defined benefit: 50% of last drawn pay after 33 years of qualifying service
NPS	Joined from 1 Jan 2004	Contribution-based: employee 10% + government 14% of basic + DA, market-linked
UPS	NPS members who opted in; effective 1 Apr 2025	Assured payout option under NPS, with inflation indexation

Sources: PFRDA UPS regulations, 19 March 2025; Ministry of Finance UPS notification, 24 January 2025; PIB, 24 August 2024.

The Unified Pension Scheme, decoded

The UPS was introduced as an option under the NPS for central government employees, effective 1 April 2025. Its central promise is an **assured payout**: 50 per cent of the average basic pay of your last twelve months, after a minimum of 25 years of qualifying service, with proportionate payout for shorter service. A minimum of Rs. 10,000 a month is guaranteed after 10 years of service.

- **Family pension.** 60 per cent of the subscriber's payout, assured to the legally wedded spouse.
- **Inflation indexation.** Dearness Relief applies to the assured pension, the family pension and the minimum pension.
- **Lump sum.** One-tenth of monthly emoluments for every completed six months of service, which does not reduce the assured pension.
- **Contributions.** Employee 10 per cent, government matching 10 per cent, plus an estimated 8.5 per cent government contribution to a pool corpus.

What the 8th CPC will review on pension

The Terms of Reference ask the commission to review the death-cum-retirement gratuity for employees under the NPS (including UPS), and the gratuity and pensions of employees not under the NPS, and to make recommendations. In practice that means the retirement package — pension base, gratuity and related benefits — will be revisited alongside pay.

> **If you are an NPS or UPS member**
>
> Pay attention to two things in the report: the pension base (the average basic pay used to compute an assured payout) and the indexation mechanism. Both are more consequential to your retirement than the pay fitment factor.

Chapter 10

Gratuity and the rest of your retirement kit

Gratuity is the lump sum many employees forget to plan for, even though it can run into lakhs. It is also one of the benefits the 8th Commission will review, so it is worth understanding before the report arrives.

How gratuity is calculated

For monthly-rated employees, retirement gratuity is worked out on last drawn emoluments (basic pay plus DA) using a fixed formula:

The gratuity formula

Gratuity = (15 ÷ 26) × last drawn emoluments × completed years of service

The qualifying requirement for retirement gratuity is five years of continuous service. The ceiling on the amount was raised from Rs. 10 lakh to Rs. 20 lakh by the 7th Commission, and it rises by 25 per cent whenever DA rises by 50 per cent.

A worked example

Take an employee at Level 10 with a basic pay of Rs. 56,100 and DA at 60 per cent, retiring after 30 years. Emoluments are Rs. 56,100 × 1.60 = Rs. 89,760. Gratuity is 15/26 × 89,760 × 30, which works out to about Rs. 15.5 lakh — comfortably under the Rs. 20 lakh ceiling. The higher your basic pay and DA at retirement, the closer you move toward that ceiling.

Element	Value in the example
Basic pay (Level 10)	Rs. 56,100
DA at 60%	Rs. 33,660
Emoluments (basic + DA)	Rs. 89,760
Years of service	30
Gratuity (15/26 rule)	About Rs. 15.5 lakh

Illustrative only. Your actual gratuity depends on your last drawn emoluments and completed service at retirement.

The rest of the retirement kit

- **Leave encashment.** Earned leave you have not used can be encashed at retirement, within limits set by the government.
- **Commutation of pension.** Under defined-benefit schemes, part of your pension can be commuted to a lump sum, with the pension reduced for a set period.
- **Family pension.** A continuing monthly payment to a surviving spouse or eligible family member.
- **Group insurance and welfare schemes.** Many departments run their own insurance and welfare funds alongside the central benefits.

The thread running through all of it: every one of these benefits is calculated on your basic pay and DA. Raise the base, and the whole kit rises with it. That is the quiet leverage the 8th Commission holds over your retirement, not just your monthly salary.

PART V — PRACTICAL

Chapter 11

Twelve myths doing the rounds right now

Pay commission season is misinformation season. Here are the twelve claims that circulate most, and what is actually true as of October 2026.

1	**Claim:** The 8th CPC has announced a fitment factor of X.	False. No fitment factor has been announced. The commission has not submitted its report. Any specific number is someone's arithmetic, not a decision.
2	**Claim:** Minimum pay will jump to Rs. 34,560 or Rs. 51,000.	Unconfirmed. Those figures are projections built on assumed factors. The minimum pay is set only when the government accepts the report.
3	**Claim:** The 8th CPC report is already out and the hike starts from January 2027.	False. As of October 2026 the report has not been submitted. The effect date is normally 1 January 2026 by convention, but the government decides the actual implementation date.
4	**Claim:** The commission's deadline is December 2026.	False. The deadline is 18 months from constitution — about May 2027.
5	**Claim:** DA will stop once the 8th CPC comes.	False. DA is revised twice a year until the new structure is notified. After that, accumulated DA is merged into basic pay and a fresh DA cycle begins.
6	**Claim:** You must apply somewhere to receive the new pay.	False. Revised pay is applied automatically by your department when the structure is notified. No application, no fee.
7	**Claim:** A 4-day work week is guaranteed by the 8th CPC.	No. The compressed work-week option came from the labour codes, not the pay commission, and it is optional, not automatic.
8	**Claim:** The fitment factor will definitely be higher than 2.57.	Unknown. It depends on the DA at the effect date and the real increase the commission recommends. Do not plan on any specific figure.
9	**Claim:** Pensioners will get nothing until serving staff are paid.	False. Pension revisions and DA/DR normally move alongside pay revisions, with their own notification.
10	**Claim:** An agent can get you a bigger settlement for a fee.	False and dangerous. There is no paid route into a pay commission outcome. Anyone charging you is scamming you.
11	**Claim:** Arrears are taxable-free and paid instantly.	Partly false. Arrears are subject to the normal tax rules, and they are paid only after the structure is notified — often months after the effect date.
12	**Claim:** The new pay matrix will be identical to the 7th CPC's.	Unlikely. A new commission publishes a new matrix. The shape decides who gains most, so read the matrix, not just the headline factor.

Chapter 12

Estimate your own revision: a worked worksheet

You cannot know your revised pay before the report. But you can build a sound estimate, and understand which levers change it. This chapter gives you the method and a worksheet you can fill in the moment the fitment factor is announced.

The method in five steps

1. **Find your current basic pay.** This is the pay in your current level of the 7th CPC matrix — not your gross salary.
2. **Multiply by the announced fitment factor.** Do this only once the factor is official.
3. **Locate the figure in the new matrix.** If your result is not an exact cell, your pay is fixed at the next higher cell in your level.
4. **Rebuild your gross.** Add DA, HRA, TA and other allowances on the new basic, at the rates the new structure sets.
5. **Check your pension and gratuity base.** Both are calculated on the new basic, so estimate them from the same figure.

Worked example (illustrative factor of 1.86)

Step	Calculation	Result (Rs.)
Current basic pay (Level 7)	Given	44,900
Apply fitment factor	44,900 × 1.86	83,514
Fix at next higher cell	Nearest cell in new level	about 83,500+
Add DA (illustrative 63%)	63% of revised basic	about 52,600
Gross before HRA/TA	Basic + DA	about 1,36,100

Illustrative only, using a hypothetical factor. The real numbers follow the government's notified matrix and rates.

Your worksheet

Line	Your figure
Current basic pay	Rs. _____
Fitment factor (when announced)	_____
Current basic × factor	Rs. _____
Cell fixed in the new matrix	Rs. _____
New DA rate	_____ %
New HRA rate (your city class)	_____ %
New TA	Rs. _____
Estimated new gross	Rs. _____
Estimated new gratuity base	Rs. _____

A caution that will save you disappointment

Do not fix a number in your head before the report, and do not take on a new loan against a projected hike. The commission's factor and the new matrix can both move your pay in ways a single multiplication will not capture. Use the worksheet to understand, not to commit.

Chapter 13

What to do now: a tracker and a 90-day plan

You cannot speed up a pay commission. But you can be ready when it reports — and you can stop misinformation from shaping your decisions in the meantime. Here is a simple plan.

Your three-tracker system

Track	What to watch	Where
Commission	New notices, visits, questionnaire, report submission	8cpc.gov.in
DA	January and July revisions, Cabinet approval	PIB, Department of Expenditure
Your department	Circulars, pay fixation orders, allowance revisions	Your office / DDO

A 90-day plan

When	Do this
Week 1	Bookmark 8cpc.gov.in and note your current basic pay and level.
Weeks 2-4	If you are in an association, check that your case is being represented in the memorandum process.
Weeks 5-8	Build a small emergency buffer so a delayed implementation does not squeeze your cash flow.
Weeks 9-12	Re-check the official portal; ignore social-media fitment numbers; update your worksheet with any confirmed DA change.

Five habits that pay off

- **Keep a copy of your current pay slip and pay fixation order.** When the new structure is notified, you will want to verify your revised pay against your own record.
- **Understand your level, not just your gross.** The matrix works on basic pay; knowing your level is how you track your position.
- **Read the DA notification, not the headline.** The Cabinet's order is the authority; articles are commentary.
- **Never pay for a 'settlement'.** No legitimate pay commission outcome involves a fee.
- **Plan for the effect date, not the payment date.** Arrears are real, but they arrive late.

A note for pensioners

If you are already retired, your focus is the DR rate and any pension revision in the report. Keep your life certificate and bank details current, and watch for the separate pension notification that usually accompanies the pay revision.

Chapter 14

Forty questions employees actually ask

Q1 **What is the 8th Pay Commission?**
A temporary committee constituted by the Government of India to review the pay, allowances, pension and service conditions of central government employees, and to recommend changes.

Q2 **When was it constituted?**
By a Ministry of Finance resolution dated 3 November 2025, after the Cabinet approved its Terms of Reference on 28 October 2025.

Q3 **Who heads it?**
Justice Ranjana Prakash Desai, a former Supreme Court judge, is Chairperson.

Q4 **How long does it have?**
Eighteen months from constitution to submit recommendations, about May 2027.

Q5 **Has it submitted its report?**
No. As of October 2026 the report has not been submitted.

Q6 **What is the fitment factor?**
The multiplier applied to your existing basic pay to fix your new basic pay. The 7th CPC used 2.57; the 8th CPC's factor is not yet announced.

Q7 **How is the fitment factor decided?**
From the DA merger (folding accumulated DA into basic pay) plus a real increase. It is decided by the commission and the government.

Q8 **What is my date of effect?**
By the ten-year convention, normally 1 January 2026. The government decides the actual implementation date.

Q9 **Will I get arrears?**
If the implementation date is later than the effect date, the difference is paid as arrears in a lump sum.

Q10 **Does DA continue until the new structure?**
Yes. DA is revised twice a year on the existing base until the new structure is notified.

Q11 **What is the DA rate now?**
60 per cent from 1 January 2026. The July 2026 revision to 63 per cent was calculated but awaited Cabinet approval as of October 2026.

Q12 **How is DA calculated?**
From the twelve-month average of the AICPI-IW, using a fixed formula under the 7th CPC.

Q13 **What is DR?**
Dearness Relief — the pensioner's version of DA, moving at the same rate.

Q14 **Will the new minimum pay rise?**
Almost certainly, but the figure is set only when the government accepts the report.

Q15 **What is the pay matrix?**
A grid of levels (1 to 18) and annual increments that replaced the old pay bands and grade pay.

Q16 **How much is an annual increment?**
About 3 per cent, moving you one cell up your level each year.

Q17 **What is the Index of Rationalisation?**
A factor (2.57 to 2.81 in the 7th CPC) used to set the minimum pay of each level.

Q18 **Will allowances change?**
The commission has been asked to rationalise allowances. Some may be merged or pruned; others may rise.

Q19 **What is HRA now?**
Paid as a percentage of basic pay by city class; the top rates apply once DA crosses 50 per cent.

Q20	**Will pension change?** The commission will review gratuity and pension, including for NPS and UPS subscribers.
Q21	**What is UPS?** The Unified Pension Scheme, an assured-payout option under the NPS, effective 1 April 2025.
Q22	**What does UPS assure?** 50 per cent of the average basic pay of your last twelve months after 25 years of service, with a minimum of Rs. 10,000 a month after 10 years.
Q23	**Does UPS get inflation indexation?** Yes. Dearness Relief applies to the assured pension, family pension and minimum pension.
Q24	**What is the gratuity ceiling?** Rs. 20 lakh, raised from Rs. 10 lakh by the 7th CPC, and increased by 25 per cent whenever DA rises by 50 per cent.
Q25	**How is gratuity calculated?** 15/26 times last drawn emoluments (basic + DA) times completed years of service, after five years of qualifying service.
Q26	**Do pensioners get the pay revision too?** Pension revisions normally move alongside pay revisions, with their own notification.
Q27	**Is there a 4-day work week?** The compressed work-week option comes from the labour codes, not the pay commission, and is optional.
Q28	**Will my take-home go up or down?** The basic pay rises; DA, HRA and gratuity are calculated on the higher base. The exact gross depends on the new matrix and allowance rates.
Q29	**Should I take a loan against a projected hike?** No. Do not commit to new obligations on an unannounced figure.
Q30	**Where do I see official updates?** 8cpc.gov.in, PIB releases, and your own department's circulars.
Q31	**Can I submit my own memorandum?** Individuals rarely do, but associations do, and the commission reads them. The memorandum window was extended to 15 June 2026.
Q32	**Does it cost anything to be heard?** No. Submissions are free. Anyone charging a fee is not an official channel.
Q33	**Is a viral fitment number reliable?** No. Unless it traces to PIB, the gazette or 8cpc.gov.in, treat it as unconfirmed.
Q34	**What if the report is delayed?** The deadline can be extended. Arrears still cover the waiting period from the effect date.
Q35	**What is the effect of the 8th CPC on state employees?** State governments usually adopt central recommendations with their own modifications; each state decides separately.
Q36	**Does the 8th CPC cover autonomous bodies?** Coverage varies; some autonomous organisations follow their own pay structures, as happened with parts of the 7th CPC.
Q37	**Will my gratuity change?** The commission will review it. Any change would follow the report and the government's decision.
Q38	**What about the armed forces?** Defence personnel are covered, with their own pay matrix, as under the 7th CPC.
Q39	**How do I verify my revised pay?** Against your own pay fixation order and the notified matrix, through your DDO or PAO.

Q40 **What is the single most important number to watch?**
The fitment factor — and, just behind it, the shape of the new pay matrix.

Chapter 15

Official sources and links

Every confirmed fact in this handbook traces to one of the sources below. Bookmark them; they are the only channels that matter.

Source	What it gives you
8cpc.gov.in	The commission's portal: Terms of Reference, notices, questionnaire, memorandum route, data portal
pib.gov.in	Cabinet decisions, press releases, DA/DR announcements
Ministry of Finance, Department of Expenditure	Pay rules, DA orders, matrix notifications
Labour Bureau (AICPI-IW)	The price index that drives DA
doe.gov.in	Department of Expenditure circulars and OM numbers
Persmin / DoPT	Service conditions and pension rules
pfrda.org.in	NPS and UPS regulations and FAQs
egazette.gov.in	The legal text of notifications

Selected references used in this edition

- PIB, 'Cabinet approves Terms of Reference of 8th Central Pay Commission', 28 October 2025.
- Ministry of Finance resolution dated 3 November 2025 constituting the 8th CPC; Terms of Reference on 8cpc.gov.in.
- Lok Sabha and Rajya Sabha replies on the 8th CPC, December 2025 and August 2026.
- Department of Expenditure OM dated 22 April 2026 on DA revision from 1 January 2026.
- Labour Bureau CPI-IW data for June 2026; Mint and Economic Times reporting, July-October 2026.
- PIB, 'Cabinet approves Implementation of the recommendations of 7th Central Pay Commission', 29 June 2016.
- PIB releases on 7th CPC allowances, 7 July 2017 (HRA rates and floors).
- PFRDA Unified Pension Scheme regulations, 19 March 2025; Ministry of Finance UPS notification, 24 January 2025.
- The Hindu BusinessLine timeline of India's pay commissions, January 2025.

A final word

This handbook will stay useful because it teaches the method, not a magic number. When the report lands, the chapters on the matrix, the fitment factor and the worksheet are what you will reach for. Until then, watch the official channels — and ignore the forwards.

GLOSSARY

The terms in this handbook, in plain English

Pay Commission	A temporary government committee that recommends changes to pay, allowances, pension and service conditions, roughly once a decade.
Fitment factor	The multiplier applied to your existing basic pay to fix your new basic pay. The 7th CPC used 2.57.
Pay matrix	The grid of levels and increments that replaced pay bands and grade pay from 2016.
Level	Your functional position in the pay matrix, running from 1 to 18.
Cell	A specific step within a level. You move one cell a year as an annual increment.
Index of Rationalisation	A factor (2.57 to 2.81 in the 7th CPC) used to set the minimum pay of each level.
Basic pay	The core pay in your level of the matrix, before allowances. Statutory benefits are calculated on it.
Dearness Allowance (DA)	A cost-of-living addition to basic pay, revised every January and July for serving employees.
Dearness Relief (DR)	The pensioner's version of DA, moving at the same rate.
AICPI-IW	The All-India Consumer Price Index for Industrial Workers, the price index that drives DA.
HRA	House Rent Allowance, paid as a percentage of basic pay by city class.
TA	Transport Allowance, a flat monthly amount by level and city class.
Emoluments	Basic pay plus DA — the base used for gratuity and some other benefits.
Gratuity	A lump sum paid on retirement after five years of qualifying service, calculated on last drawn emoluments.
DCRG	Death-cum-Retirement Gratuity, the formal name for the gratuity benefit.
NPS	National Pension System, a contribution-based scheme for those who joined from 1 January 2004.
UPS	Unified Pension Scheme, an assured-payout option under the NPS, effective 1 April 2025.
OPS	The old, defined-benefit pension for those who joined before the NPS cut-off.
Assured payout	The UPS guarantee: 50 per cent of the average basic pay of your last twelve months after 25 years.
Arrears	The lump-sum difference between old and new pay for the months between the effect date and the payment date.
Date of effect	The date from which revised pay is calculated. Date of payment is when it actually arrives.
Terms of Reference (ToR)	The document that defines what a pay commission must examine and recommend.
Interim report	A partial report a pay commission may file on some matters before its final report.
Memorandum	A written submission made to a pay commission by a union, association or individual.
Rationalisation	The process of merging, pruning and simplifying allowances so the system is less tangled.

APPENDIX

The whole handbook on one page

The facts you can bank on (October 2026)

8th CPC constituted 3 November 2025. ToR approved 28 October 2025.

Chairperson: Justice Ranjana Prakash Desai. 18-month deadline: about May 2027.

Report not yet submitted. Effect normally expected from 1 January 2026.

Covers about 50 lakh employees (incl. Defence) and nearly 70 lakh pensioners.

Fitment factor: not announced. 7th CPC used 2.57.

DA now 60% (from 1 Jan 2026); July 2026 computed at 63% awaiting Cabinet.

Gratuity ceiling Rs. 20 lakh. UPS assured payout 50% after 25 years.

The five-step estimate

1. Find your current basic pay and level.
2. Multiply by the announced fitment factor.
3. Fix at the next higher cell in the new matrix.
4. Rebuild your gross with new DA, HRA and TA.
5. Recheck your pension and gratuity base.

The three official channels

Watch	Where
The commission	8cpc.gov.in
DA and Cabinet decisions	pib.gov.in
Your own orders	Your department / DDO

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